



## Rooftop Solar Loan Trust 2026

|             |               |
|-------------|---------------|
| Issue       | Jun 2026      |
| Currency    | INR           |
| Format      | True-sale PTC |
| Legal final | ~12 yr        |

Residential rooftop-solar loan ABS · PM Surya Ghar · true-sale securitisation

|            |        |                  |                   |
|------------|--------|------------------|-------------------|
| POOL SIZE  | LOANS  | POOL YIELD (WAC) | EXPECTED NET LOSS |
| ₹600.32 cr | 30,000 | 7.28%            | 1.80%             |

## CAPITAL STRUCTURE

| TRANCHE             | SIZE | ₹ CR  | COUPON   | CREDIT ENHANCEMENT | INDICATIVE RATING |
|---------------------|------|-------|----------|--------------------|-------------------|
| Senior (Class A)    | 85%  | 510.3 | 6.75%    | 15%                | AAA(SO)           |
| Mezzanine (Class B) | 5%   | 30.0  | 8.00%    | 10%                | AA(SO)            |
| Equity (retained)   | 10%  | 60.0  | Residual | —                  | first-loss        |

## COLLATERAL

|                                |                        |
|--------------------------------|------------------------|
| Asset                          | Rooftop solar, 1–10 kW |
| Average ticket                 | ₹2.0 lakh              |
| WA tenor                       | 132 months             |
| Secured (>₹2L)                 | 40.3%                  |
| CIBIL 750+ / 700–749 / 650–699 | 55 / 30 / 15%          |
| Top-3 state concentration      | 52.7%                  |
| Subsidy prepayment             | ~ month 2              |

## STRUCTURE &amp; ENHANCEMENT

|                     |                                  |
|---------------------|----------------------------------|
| Subordination       | 15% sr / 10% mezz                |
| Cash reserve        | 1.5% (₹9.0 cr), pre-funded       |
| Principal waterfall | Sequential                       |
| Excess spread (EIS) | ~0.12% p.a.                      |
| Triggers            | Clean-up call ≤10%; Default trap |
| MRR retained        | 10% (RBI floor)                  |
| Senior WAL          | ~1.8 yr                          |

LOSS COVERAGE · NET LOSS ABSORBED BEFORE EACH TRANCHE IS IMPAIRED  
expected loss 1.8%

## STRESS &amp; RATING SUMMARY

- **Senior** — zero principal loss through India Ratings' full AAA stress vector (5.5× default, 24% recovery); ~8.3× expected-loss coverage.
- **Mezzanine** — survives the AA vector intact; ~5.6× coverage; first impaired above 10% net loss.
- **Equity** — first-loss; IRR break-even ~1.6× expected loss; fully absorbed at 10% net loss.

## KEY RISKS

- The concessional pool yields roughly 7.3%, below where comparable PTCs price in the market — so the structure clears only with policy support or a below-par placement.
- The pool is unseasoned and the originator has no performance history, so a rating agency would apply the top of its stress range.
- Excess spread is negligible, which leaves the rated notes reliant entirely on hard subordination rather than on trapped spread.
- Collateral is geographically concentrated (top three states ~53%) and recovers poorly on default (40% assumed), as rooftop systems are difficult to repossess.
- The cash-flow profile is mildly flattered by two modelling simplifications — immediate recovery and a flat default-timing curve.

Illustrative educational model built on a synthetic loan pool. Not a live transaction, securities offer, or credit rating. Figures are model outputs; indicative ratings are the author's model-derived reads, not credit-rating-agency opinions.

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Built in Python · June 2026  
[github.com/Dhanania0409/Solar-ABS-Valuation-2026](https://github.com/Dhanania0409/Solar-ABS-Valuation-2026)